November 4, 2026
Brazil Equity Strategy

XP IFAs Sentiment Survey

Risk appetite deteriorates significantly after the recent sell-off...

...while sentiment posts its largest monthly drop in our series

In this edition of our survey with advisors and IFAs affiliated with XP, we saw a strong deterioration in risk appetite and in sentiment towards equities. The key takeaways are: **(i)** The share of respondents planning to reduce their equity allocation jumped to 24% (+13 p.p. MoM), the highest since January 2025; **(ii)** IFAs' sentiment towards equities fell to 5.1, from 6.8 in September (on a 0-10 scale), the largest monthly drop in our historical series; **(iii)** The average YE2026 Ibovespa projection fell to 175k points, from 188k; **(iv)** Concerns over fiscal risks, local rates, inflation and the USD reached record highs; **(v)** 51% see equities as more attractive following the recent sell-off, but fear further declines.

Risk appetite deteriorated sharply. In October, the share of respondents planning to reduce their equity allocation more than doubled to 24% (+13 p.p. MoM), the highest level since January 2025, while those planning to increase it declined to 25% (-4 p.p. MoM). At the same time, 51% of respondents do not wish to alter their equity exposure.

Sentiment posted its largest drop in our series, with 59% (+36 p.p. MoM) assigning a score of 5 or lower and the average score falling from 6.8 to 5.1, the lowest since January 2025. The average YE2026 Ibovespa estimate fell to 175k points, from 188k, implying ~4% upside versus the current index level of around 168k points.

Allocation to equities remained concentrated below 25%. We observed a shift from the 0-10% allocation range, which declined to 45% (-4 p.p. MoM), to the 10-25% range, which rose to 42% (+6 p.p. MoM). Overall, allocation between 0% and 25% reached 87% (+2 p.p. MoM).

International investments gained ground. Fixed Income remains the #1 asset class, although interest fell to 74% (-10 p.p. MoM). Meanwhile, International Investments rose to 48% (+7 p.p. MoM), the highest since January 2025, and are now in second place.

Domestic macro concerns hit record highs. 81% of IFAs point to fiscal risks in Brazil as their main concern regarding Brazilian equities, while higher-than-expected local rates (58%, +29 p.p. MoM), rising inflation (55%, +35 p.p. MoM) and a stronger USD (51%, +41 p.p. MoM) showed a very strong increase and also reached the highest levels in our series.

On sector preferences, Financials remain on top with 71% (-3 p.p. MoM), followed by Oil & Gas (59%, +1 p.p. MoM). Interest-rate-sensitive sectors, such as Retail (1%) and Transportation (1%), remain at the bottom.

Finally, most IFAs see value, but fear further declines. 51% consider Brazilian equities more attractive after the drop, but still see a risk of further declines, while 25% believe the drop is justified and only 20% see a good buying opportunity.

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*The survey was conducted between October 27th and 31st, collecting 101 responses.

Regarding their investments in equities, your clients:

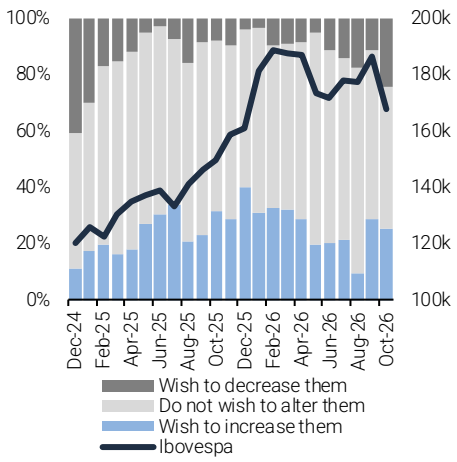


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XP Sentiment Survey

Risk appetite deteriorates significantly

In terms of respondents, the Southeast region's participation in the survey decreased by 4 p.p. to 57% of the responses in the October edition. This was followed by the South (26%, +11 p.p. MoM), its highest share in our series, the Northeast (11%, -9 p.p. MoM), the Midwest (4%, 0 p.p. MoM) and the North (1%, +1 p.p. MoM).

Allocation to equities remained concentrated below 25%. In October, the share of respondents with equity allocations in the 0-10% range decreased to 45% (-4 p.p. MoM), while the 10-25% range increased to 42% (+6 p.p. MoM). At the same time, the 25-50% bracket eased to 10% (-1 p.p. MoM), the 50-75% bracket rose to 2% (+1 p.p. MoM) and the 75-100% bracket fell to 1% (-2 p.p. MoM).

Risk appetite deteriorated sharply. On the other hand, the share of respondents planning to reduce their equity allocation more than doubled to 24% (+13 p.p. MoM), the highest since January 2025, while the share planning to increase it declined to 25% (-4 p.p. MoM). Meanwhile, the share intending to keep their current allocation unchanged dropped to 51% (-9 p.p. MoM), the lowest since December 2024.

The deterioration comes amid a historic sell-off in Brazilian equities. As highlighted in our latest XP-Ray, after rallying to a record close of 209k points during the first half of October, the Ibovespa declined significantly in the second half, as expectations for the macro outlook deteriorated, with long-term nominal rates rising above 15% and the BRL weakening. As a result, the Ibovespa ended October down 10% in BRL and 14% in USD.

Chart 1: Which region of Brazil is your office located?

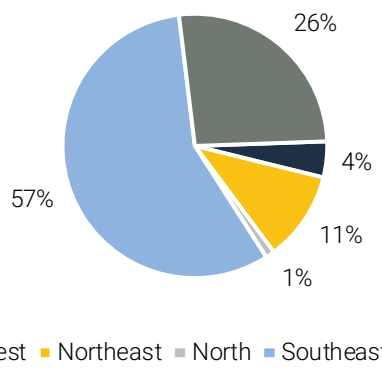


Chart 2: Within your clients' portfolio, the allocation in equities is on average:

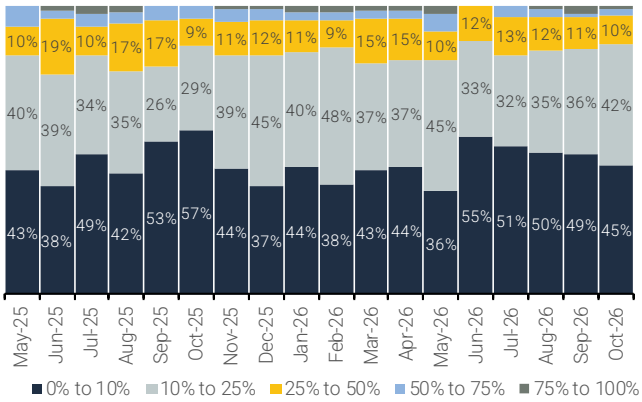
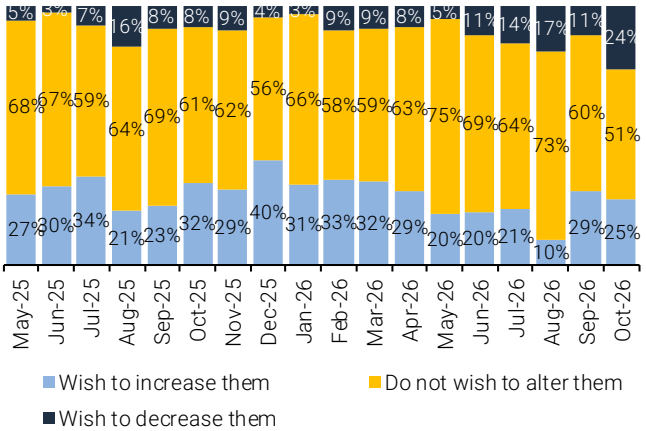


Chart 3: Regarding their investments in equities, your clients:

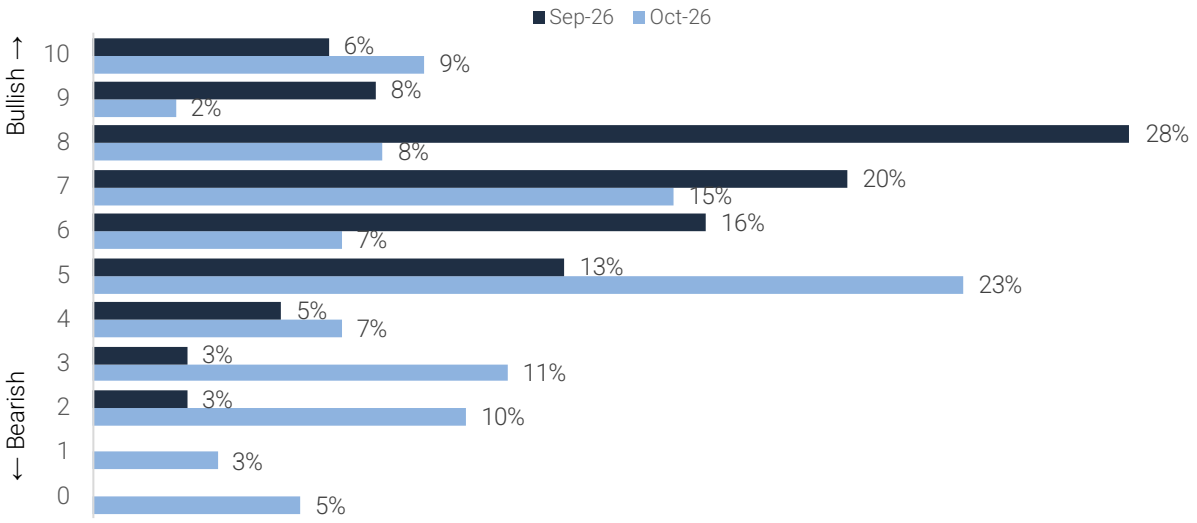


XP Sentiment Survey

IFAs' sentiment posts its largest drop on record

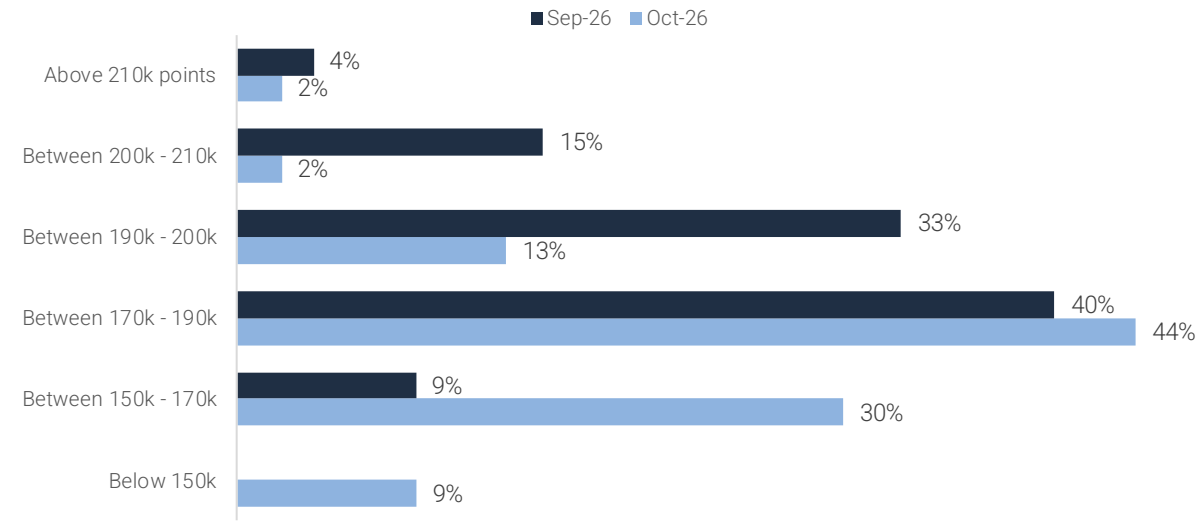
IFAs' sentiment towards Brazilian equities deteriorated sharply, with 34% (-27 p.p. MoM) rating it 7 or higher, while 59% (+36 p.p. MoM) assigned a score of 5 or lower. The average of the responses fell from 6.8 in September to 5.1, the largest monthly drop in our series and the lowest since January 2025.

Chart 4: On a scale of 0 (most bearish) to 10 (most bullish), indicate your current equity sentiment relative to historical terms.



In October, 44% of IFAs (+4 p.p. MoM) indicated that they expect the Ibovespa to end 2026 between 170k and 190k points, still the most cited bracket, while 30% (+21 p.p. MoM) see the index finishing between 150k and 170k points. The average projection fell to 175k points, from 188k previously, implying ~4% upside versus the current index level of around 168k points. Meanwhile, 9% (+9 p.p. MoM) now project the Ibovespa below 150k points by YE2026, while those projecting it above 200k fell to 4% (-15 p.p. MoM).

Chart 5: In your opinion, what is the expected level for Ibovespa YE2026?

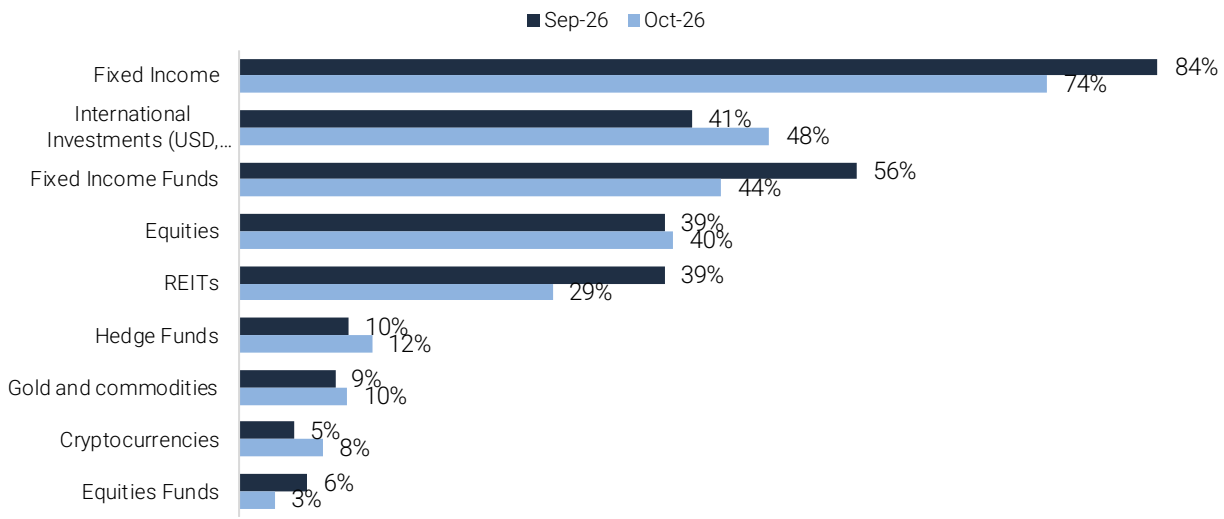


XP Sentiment Survey

International investments gain ground

October's survey shows that **Fixed Income** remains the most demanded asset class among clients, although interest declined to 74% (-10 p.p. MoM), while **Fixed Income Funds** declined to 44% (-12 p.p. MoM). **International Investments** rose to 48% (+7 p.p. MoM), the highest since January 2025, while **Equities** were broadly stable at 40% (+1 p.p. MoM) and **REITs** fell to 29% (-10 p.p. MoM).

Chart 6: Which assets are your clients interested in?



Allocation levels to international assets (Chart 7) moved higher. The 20-50% bracket rose to 15% (+11 p.p. MoM), the highest in our series, while the 5-10% range fell to 21% (-12 p.p. MoM) and the 0-5% bracket eased to 47% (-3 p.p. MoM).

According to our survey, the most in-demand international asset classes are: 1) **ETFs** (68%, +5 p.p. MoM); 2) **International Funds** (46%, -12 p.p. MoM); 3) **BDRs** (42%, -7 p.p. MoM); 4) **Dollar** (37%, +8 p.p. MoM); and 5) **Bonds** (37%, 0 p.p. MoM).

Chart 7: What percentage of your clients already invest in international assets?

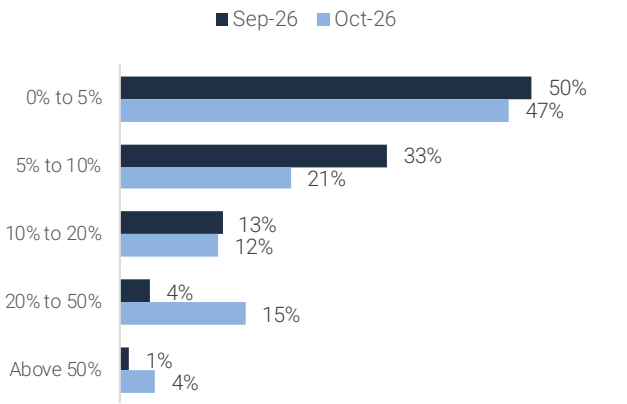
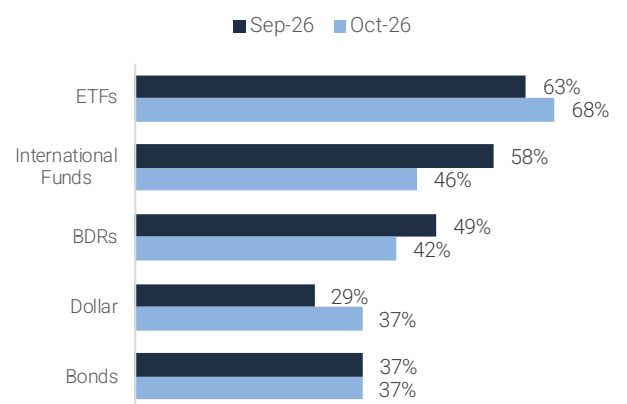


Chart 8: In international investments, your clients are interested in:



XP Sentiment Survey

Domestic macro risks hit record highs

Regarding the main risks for Brazilian equities, 81% (+3 p.p. MoM) of IFAs point to **Fiscal Risks in Brazil**, followed by **Higher-than-expected local rates** (58%, +29 p.p. MoM), **Rising inflation in Brazil** (55%, +35 p.p. MoM) and a **Stronger US dollar** (51%, +41 p.p. MoM), all at record highs. On the other hand, **Political Instability** declined to 57% (-14 p.p. MoM).

As for factors that would increase risk appetite, a **change of direction in political economy** remains in the lead, cited by 64% (-2 p.p. MoM), followed by **Rate cuts in Brazil**, at 56% (-3 p.p. MoM). Meanwhile, **Rate cuts in the US and globally** fell to 15% (-15 p.p. MoM).

On sector preferences, positioning remains defensive. **Financials** remain at the top with 71% (-3 p.p. MoM), followed by **Oil & Gas** (59%, +1 p.p. MoM) and **Utilities** (55%, -8 p.p. MoM). At the same time, **Pulp & Paper** (18%, +5 p.p. MoM) and **Agribusiness** (12%, +6 p.p. MoM) gained share. On the other hand, interest-rate-sensitive sectors, such as Transportation and Retail, remained at the bottom.

Chart 9: What do you think could be the biggest tail risk for Brazilian equities in the coming months?

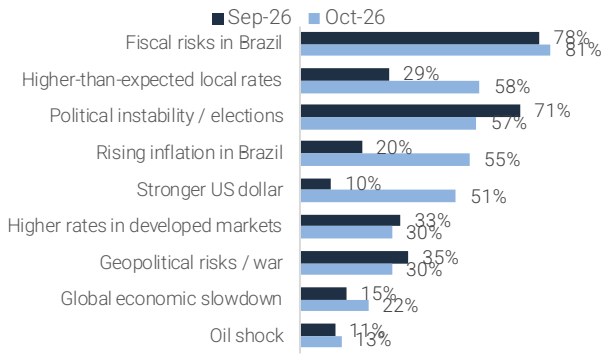


Chart 10: Which of the factors below would increase your risk-appetite for Brazilian equities?

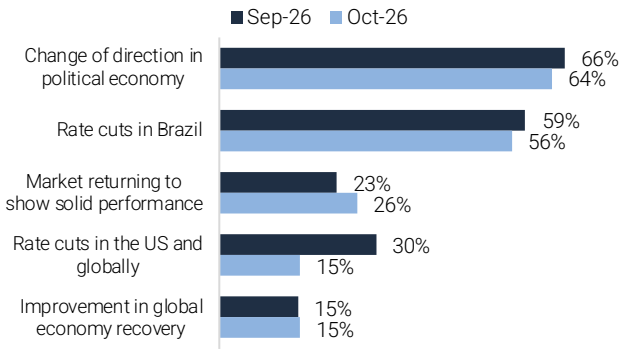
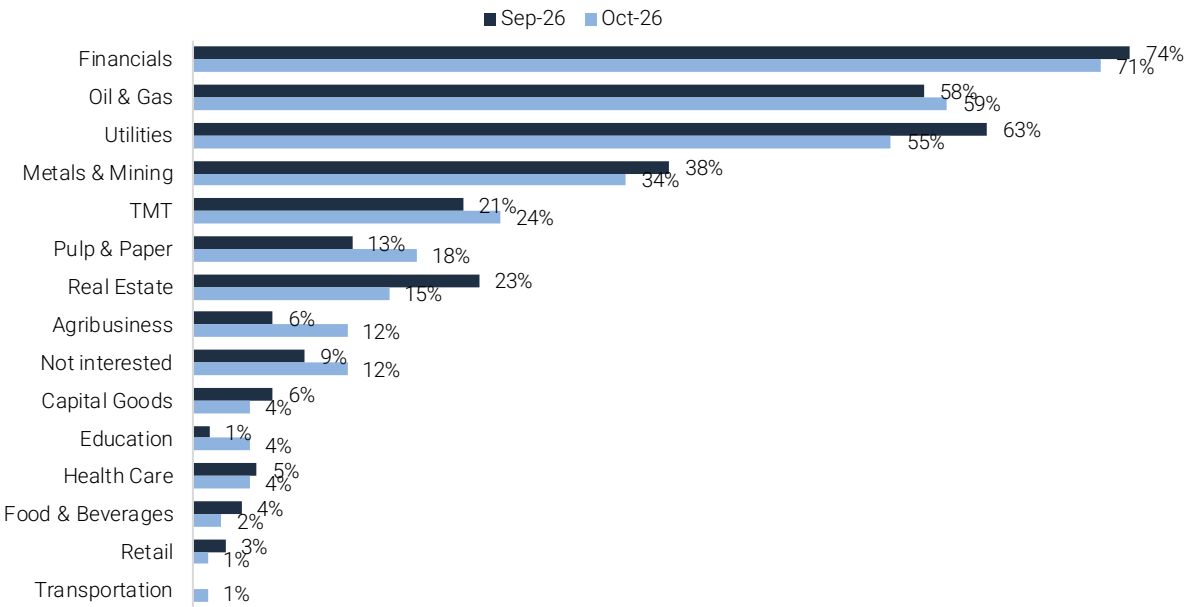


Chart 11: Which sectors are your clients most interested in investing currently?



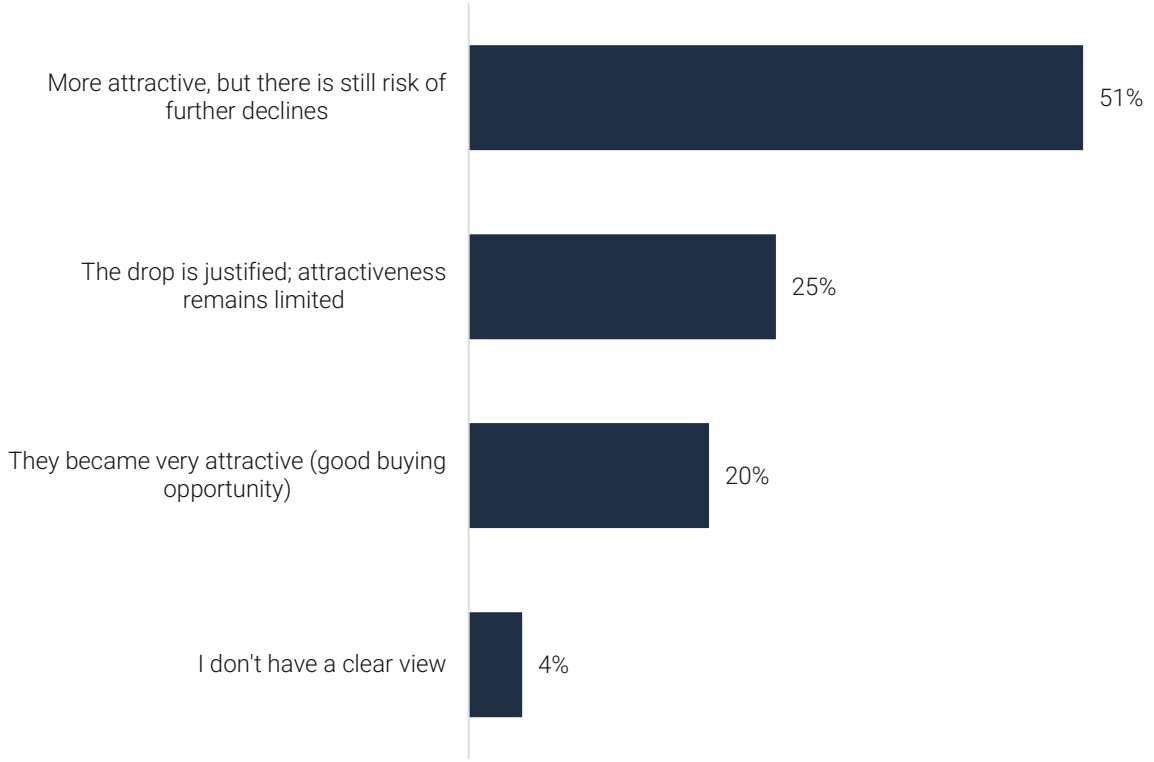
XP Sentiment Survey

Most IFAs see value in Brazilian equities, but fear further declines

This month, we asked IFAs **how they assess the attractiveness of Brazilian equities after the recent sharp decline**. Half of the respondents (51%) consider them more attractive, but still see a risk of further declines, while 25% believe the drop is justified and attractiveness remains limited. Meanwhile, only 20% see a good buying opportunity, and 4% have no clear view.

In other words, most IFAs acknowledge that valuations have become more attractive after the recent sell-off, but the uncertainty and concerns around the domestic macro outlook still hold back a more constructive view.

Chart 12: After the recent sell-off, how do you assess the attractiveness of Brazilian equities?



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